



Economic Value

As one of the largest NBFIs in the country, we play a key role in facilitating wealth creation and access to finance in Sri Lanka and Myanmar. A network of 200 branches in Sri Lanka and 16 branches in Myanmar drives our growth, supporting financial inclusion. Digitalisation, connectivity and strong business partnerships facilitate our customers to manage their finances in a digital era. The value created by LB Finance is set out below.

Economic Value Added Statement

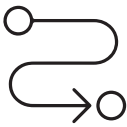
For the year	2023/24 Rs. Million	2022/23 Rs. Million
Invested Equity		
Shareholders' funds	43,626.07	38,115.74
Add: Allowance for Impairment losses	7,309.25	7,858.72
	50,935.32	45,974.46
Earnings		
Profit attributable to shareholders	9,563.64	8,460.33
Add: Impairment charges	373.24	545.74
	9,936.87	9,006.07
Economic cost % (Average Treasury Bill rate plus 2% risk premium)	16.80	29.12
Economic cost	8,140.42	12,594.64
Economic value added	1,796.45	(3,588.56)

Market Value Added (MVA)

For the year	2023/24 Rs. Million	2022/23 Rs. Million
Market capitalisation		
Market value of equity	34,794.79	30,473.14
Less: Equity owners' funds		
Shareholders' funds	43,626.07	38,115.74
Total equity owners' funds	43,626.07	38,115.74
Market value added/(destroyed)	(8,831.28)	(7,642.60)

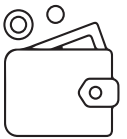


ABOUT LB FINANCE



Access to Finance

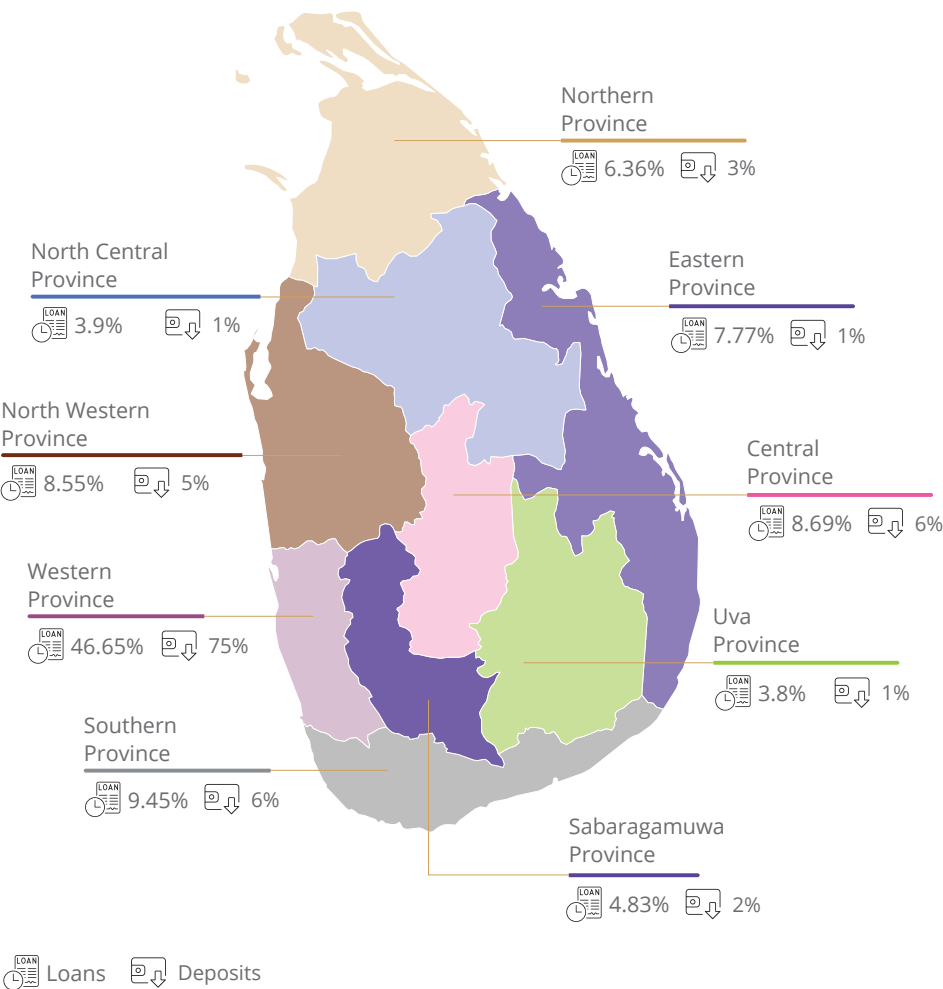
LB Finance plays a key role supporting individuals, microentrepreneurs and small and medium businesses to obtain the funding they need to support their livelihoods.



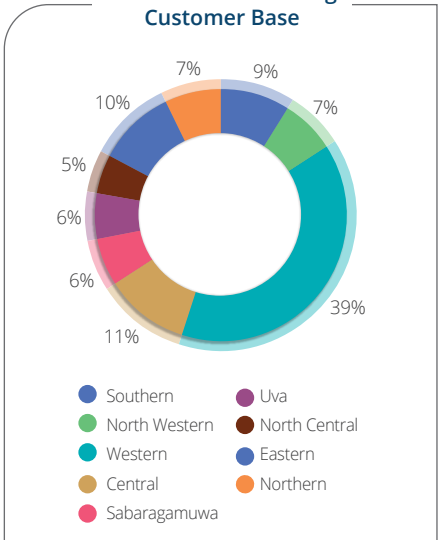
Supporting income stability for people

LB Finance has consistently maintained deposit growth rates above the industry average reflecting the combination of attractive interest rates and financial stability. This has enabled people to earn a stable income, supplementing their other income sources. Accordingly, LBF paid Rs. 21,158 Mn as interest to our depositors and lenders. It is noteworthy that our depositors range from large to small as we ensure we remain inclusive and support customers throughout their life.

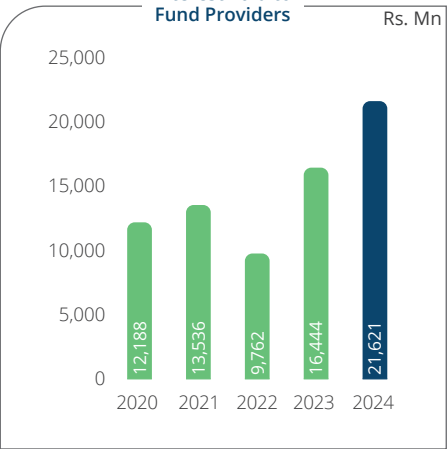
Provincial Distribution of Loans and Deposits



Province-wise Lending Customer Base



Interest Paid to Fund Providers

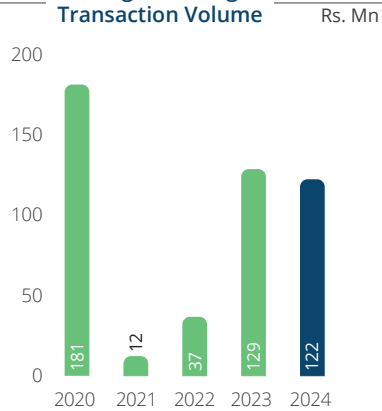




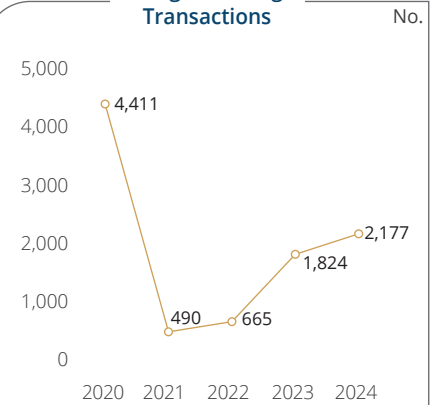
Foreign Exchange

LBF facilitated migrant worker remittances through its money transfer business partners, enabling them to send money to their families in Sri Lanka. As inward remittances continue to increase in importance, this facilitation plays a key supporting role in the country's economic recovery.

Foreign Exchange Transaction Volume



Foreign Exchange Transactions

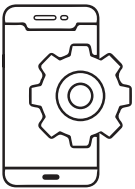
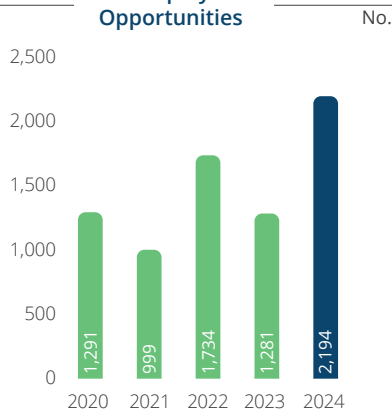


Employment

GRI 3: 203-2

An island-wide branch network provides jobs for 2,194 employees. During the year, the value of remuneration and benefits offered to our employees was Rs. 4,095 Mn. LBF continues to invest in capacity building of our team, nurturing a culture of professionalism, learning and mentoring.

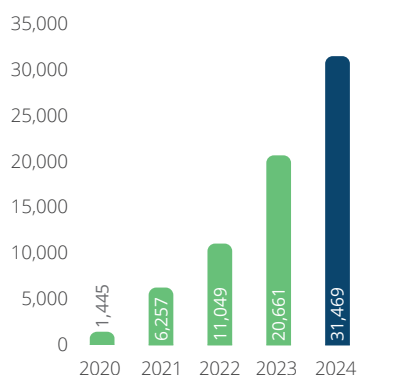
New Employment Opportunities



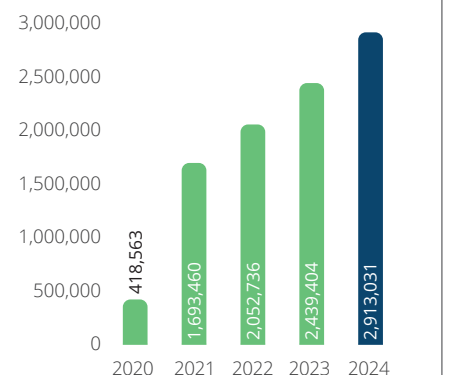
Continuous Innovation - Digital Access

As a leading digital disruptor in Sri Lanka's Non-Bank Financial Institution (NBFI) sector, we focus on fostering the growth of SMEs/MSMEs by facilitating access to formal financial services.

CIM App Transaction Volume



CIM App Transactions



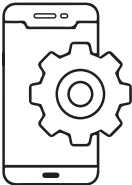
ABOUT LB FINANCE



Women empowerment

We continue to empower and support women, emphasising equal opportunities in the workplace, enhancing female representation in leadership roles, and extending financial support to businesses led by women

Product for women empowerment	'Wanitha Ran Saviya'
Gold loans granted for women empowerment through 'Wanitha Ran Saviya'	Rs. 2,364 Mn.
Percentage of female employees promoted	50%



Supporting Communities

Our dedication to community upliftment was reflected through our investments in CSR projects focused on addressing critical national priorities including education and community well-being.

Establishing a rehabilitation center, communities can foster an environment of healing and recovery, offering individuals a chance to rebuild their lives while simultaneously benefiting society as a whole



Rural Development

We contribute to the development of provincial economies through our branch network across the island. Aligning with our commitment to promote equitable access for all Sri Lankans, our branch expansion strategy focuses on reaching out to customers outside the Western province.

